TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

Town Hall (May 18, 2026) & Board Meeting (May 20, 2026)

EXECUTIVE SUMMARY

The May 2026 meetings were among the most productive and substantively consequential since the new board took office. The TBOUR regulatory transition is now law — signed by Governor Lee on May 7, effective July 1 — and attorney Henry Walker's detailed town hall presentation gave the community its clearest picture yet of what this means operationally. The board permanently abolished the $80 Water and Sewer Infrastructure Asset Fee (WSIAF) by unanimous vote, fulfilling a core campaign promise. The $2M federal grant, flagged as uninvoiced for over a year in April, has now had substantial receipts submitted with a September 30 deadline confirmed. Financial results continue to significantly exceed plan, with reserve contributions running 112% ahead of budget. The balanced scorecard presentation showed genuine progress across nearly all 14 initiatives. Road maintenance capital requests totaling approximately $1.5M were approved unanimously with strong competitive bidding and due diligence — including a mill-and-overlay bid that came in $823,000 below the second-lowest bidder, prompting staff to conduct thorough verification before recommending acceptance.

However, the Kahite lift station situation has taken a concerning turn. The board disclosed it has issued a $16,000 task order to C2RL — the firm the board preferred but which PAC voted 5-2 against in April — without routing the engagement through either PAC or FAC, and without first canceling the existing Jacobs Engineering master services agreement. Former project manager Scott Macrae raised a specific professional ethics concern at both meetings about having two engineering firms concurrently engaged on the same project. The board's response — citing legal counsel and asserting the engineering ethics code does not apply to private entities — did not fully resolve the concern. The Troon contract cost remains undisclosed, though President Lackey committed publicly to releasing the number after consulting with the IEL. Pat White's pointed invocation of the board's own "sunshine and transparency" campaign language made this the sharpest resident challenge on the topic to date.

GENUINE POSITIVES

- **TBOUR transition is legally complete and well-explained.** Henry Walker's town hall presentation was the most informative single segment delivered at any meeting in this series. He clearly distinguished between being "regulated like a utility district" and

"becoming a government entity," explained the GASB accounting transition, outlined the training requirements (12 hours first year, then 6 hours over 3 years), and candidly acknowledged open questions about bond eligibility and grant access. His caution that "you've made up a new type of animal" and that "don't expect to find black and white answers to some of these questions" was refreshingly honest. [Town Hall ~14:10–50:15]

- **The WSIAF was permanently abolished by unanimous 7-0 vote.** The motion explicitly terminated both the $80 fee and any related "catch-up fee," fulfilling the Tellico Smart platform promise to "permanently eliminate the $80 water/sewer fee." This was clean, decisive governance. [Board Meeting ~35:45–36:37]
- **The board directed a comprehensive water/sewer financial accounting.** The board instructed IEL Claude Thorn, with assistance from staff and Troon financial experts, to provide "a complete deep dive accounting for all water and sewer funds collected and spent by the POA since 2003," plus future cash flow and budgetary needs. This is the first concrete action toward addressing the long-standing water/sewer overcharge question. [Board Meeting ~36:52–37:40]
- **The $2M federal grant is now actively being claimed.** CFO Judy Bedford confirmed that "a considerable additional amount of receipts" has been submitted, with confirmation from the grantor that funds can be moved between budgetary buckets if needed. The September 30 deadline is acknowledged and the goal is to have claims substantially complete by July. This is a significant improvement from the April disclosure that no invoices had been submitted in over a year. [Town Hall ~50:40–52:15]
- **Financial results are genuinely strong.** April expenses came in 8% under budget; year-to-date expenses are 7% favorable. Both golf and recreation generated operating surpluses for the month. Subsidies were 164% better than budget for April and 41% favorable year-to-date. Reserve contributions are running 112% ahead of plan. [Board Meeting ~1:07:45–1:12:10]
- **The employee satisfaction survey is an institutional achievement.** Otto's team completed 200 surveys capturing 81% of full-time employees, achieving 95% statistical confidence with less than 4.3% error rate. The methodology — 14 in-person sessions with follow-up focus groups, anonymous and off-POA servers — is rigorous. The team has already identified and resolved several quick-fix operational problems (geofence clock-in issues, tip-out automation via Toast, pay rate disparities for room-reset work). [Board Meeting ~1:23:13–1:30:19]
- **IT Director Kevin Alfont saved over $100,000 annually in credit card processing fees.** This was publicly recognized by Lackey and represents exactly the kind of efficiency improvement the Tellico Smart platform called for. [Board Meeting ~17:51–18:20]
- **Road maintenance procurement was exemplary.** Matt Benoit obtained two bids for PMM sealant (first time in his tenure getting more than one) and three bids for mill-and-overlay. When the low mill-and-overlay bid came in $823,000 below the second-lowest, staff proactively verified quantities, site visits, field conditions, and checked references with Loudon County, City of Knoxville, Knox County, and TDOT — all of which confirmed

the contractor's quality. Payment and performance bonds were confirmed. This is best-practice procurement. [Board Meeting ~1:41:16–2:04:26]

- **The Blue Book revisions followed proper process.** The ACC workshops, community circulation, redline publication, public comment period, and board approval sequence was orderly and transparent. The substantive changes (artificial turf expansion, Saturday construction hour limits, solar panel standards, landscape completion at final inspection) are reasonable and were adopted 7-0 with minimal community objection. [Board Meeting ~8:53–14:52]
- **Joel Reed's candid question about whether assessments are too high was a model of fiduciary responsibility.** His observation that reserve contributions running 112% above plan "just makes me think — are we collecting too much?" and David Taylor's follow-up that "maybe the budget ought to be lower next year" demonstrate exactly the kind of fiscal self-scrutiny the community should expect from its board. FAC Chair Doug Sloan's distinction between operational surplus and exceptional items (lot sales) added helpful analytical precision. [Board Meeting ~1:14:33–1:16:19]
- **Customer experience survey results are strong and improving.** April showed 89.5% overall satisfaction against an 85% target. Public works and POA offices came in at 97.4%. Parks and Rec at 90%. Golf right at 85% target. The trend from March to April shows a 5% improvement. [Board Meeting ~1:03:06–1:07:01]
- **Christine Martinez's food and beverage department rename presentation was professional and well-reasoned.** The 6-1 approval (with the sole dissent unexplained) was efficient. Her commitment to absorbing uniform costs within existing budget was fiscally responsible. [Board Meeting ~38:07–45:22]

CONCERN 1: KAHITE LIFT STATION — BOARD BYPASSED ADVISORY COMMITTEES AND CREATED A DUAL-ENGAGEMENT ETHICS RISK

1a. The Board Issued a Task Order to C2RL Without PAC or FAC Review

At the town hall, an online question from Linda Garza asked whether the C2RL engagement "go through PAC and FAC for review, and if not, why?" Board Secretary David Taylor's answer was direct:

> *“No, it — the board is in the middle of contract negotiations and so we dealt with that." [Town Hall ~59:13–59:22]”*

Lackey added that the board engaged C2RL under "4.3 of the bylaws" with counsel Kevin Stevens present, and that the decision was unanimous. Taylor described the scope as limited to the Kahite pump station: "Tell us what we need to achieve that goal and then we'll look at that result." The contract is not to exceed $16,000. [Town Hall ~59:55–1:03:35]

Bylaw cross-reference: Lackey cited "4.3 of the bylaws." The closest relevant provision is Article IV, Section 12(C), which authorizes the board to "employ, dismiss and control at the Board of Directors' pleasure such attorneys, accountants, contractors, and other professionals as the Board determines necessary for the discharge of its duties and responsibilities." This provision does grant the board authority to engage professionals directly. However, the purchasing policy (Section IV) requires board approval for "any Professional Services contract" exceeding $25,000. At $16,000, this engagement falls below that threshold — so the board has technical authority. The concern here is procedural, not legal: the board's own advisory committee structure exists precisely to provide technical vetting of engineering decisions, and this engagement was specifically designed to circumvent the PAC recommendation the board rejected in April.

1b. Scott Macrae Raised a Specific Professional Ethics Concern — Twice

At the town hall, Macrae raised an objection that was precise and limited:

> *"What we've just done is violate both the National Board of Professional Engineering Standards Code of Ethics by having two engineering firms work at the same — on the same project at the same time." [Town Hall ~1:00:17–1:00:25]"*
>
> *"You have not cancelled the Jacobs engineering contract. It was never cancelled." [Town Hall ~1:01:23–1:01:34]"*

Lackey responded: "We have everything in place according to our lawyer." At the board meeting, Macrae returned to clarify:

> *"I was not saying we were violating laws. I was saying that by having both engineering firms concurrently engaged on the same project would be asking them to violate their professional ethics." [Board Meeting ~31:00–31:17]"*
>
> *"If the two engineering firms don't know that they're both working on the same project, even though Jacobs was paused, that presents them with problems as well as us." [Board Meeting ~31:37–31:45]"*

Lackey's response at the board meeting was that the engineering ethics code cited applies to "public works" and "we are not a public entity. We are a private entity on the engineering." [Board Meeting ~18:37–18:58]

1c. Assessment

Macrae's concern is narrower and more specific than Lackey's response suggests. The issue is not whether the POA is bound by state public procurement law — it is not. The issue is whether the *engineering firms themselves* face professional ethics constraints when two firms are concurrently engaged on the same project without mutual knowledge. Engineering professional ethics codes (including NSPE and Tennessee Board of Architectural and Engineering Examiners rules) apply to the *licensees*, not to the client. The POA may not be violating any law, but it may be placing its engineering contractors in an uncomfortable professional position.

The practical solution Macrae offered was straightforward: cancel the Jacobs task order before engaging C2RL. At the board meeting, Lackey stated he has "talked to Claude about going back and making sure all our i's are dotted and t's are crossed." [Board Meeting ~19:04–19:07]

This suggests the board is aware the Jacobs contract was not properly closed but has not yet remedied it.

1d. The Pattern Continues

This is the sixth consecutive month in which the board majority has overridden or circumvented advisory committee recommendations:

- **December 2025:** FSAC unanimous recommendations overridden wholesale.
- **January 2026:** Committee chair nominated by board liaison without open process.
- **February 2026:** Ad hoc committees populated without public disclosure.
- **March 2026:** FSAC sub-committee chair selected by board liaison.
- **April 2026:** PAC's 5-2 CTI recommendation rejected; no alternative approved.
- **May 2026:** Board issued C2RL task order without PAC or FAC review, after PAC voted 5-2 against C2RL.

The board has the legal authority to do each of these things individually. The pattern, however, raises a systemic governance concern: if advisory committees' recommendations are routinely bypassed when they conflict with board member preferences, the committees' ability to attract qualified volunteers and provide independent technical judgment will erode over time.

CONCERN 2: TROON CONTRACT COST — COMMITMENT TO DISCLOSE, BUT NOT YET DISCLOSED

2a. Pat White's Challenge

Pat White delivered the most direct and effective challenge on the Troon cost question to date:

> *"In the light of sunshine and transparency, the community wants to know the cost of hiring Troon. We do not want a comparison of past salaries adjusted by a percentage and compared to budgeted costs that we have to calculate... the agreed upon cost for the services of Troon for the life of the contract. And in the name of sunshine and transparency, how much are we paying?" [Board Meeting ~26:53–27:56]"*

White's framing was particularly effective because he explicitly invoked the board majority's own campaign language — counting "11 uses of the term sunshine and five uses of the term transparency" from campaign videos — and then applied those standards to the current moment.

2b. Lackey's Response

Lackey's answer was a meaningful step forward from his May 7 refusal:

> *"It's a fair challenge, Pat. Let me get with Claude and close that out because I want to make sure that whatever I divulge doesn't cause him heartburn in other properties." [Board Meeting ~27:56–28:04]"*

When White pressed on whether an NDA existed, both Lackey and Thorn confirmed "No." White then stated: "Then it's discoverable." Lackey agreed and committed: "Let me get with him and we will get that number put out." [Board Meeting ~28:14–28:26]

2c. Assessment

This is progress. The commitment is now on the public record, made to a specific resident who will follow up. However, until the number is actually disclosed, the "30% savings" claim from May 7 remains unverifiable. This item has been tracked since the April report. The board's rationale for non-disclosure has shifted across meetings:

- **March 2026:** "It's in contract negotiations" (Lackey) / "It's like showing your cards at a poker table" (Taylor).
- **April 2026:** "We're in negotiations and final best offers."
- **May 7, 2026:** "I'm apprehensive to give contractual numbers out because Troon does work for other companies and to disclose that would put their contractual relationships at risk."
- **May 20, 2026:** "Let me get with Claude... I want to make sure that whatever I divulge doesn't cause him heartburn in other properties."

Each rationale is slightly different. The consistent thread is reluctance, not a firm legal or contractual barrier — particularly given the confirmed absence of an NDA. The community should expect disclosure at the June board meeting.

CONCERN 3: TBOUR TRANSITION — SIGNIFICANT OPEN QUESTIONS ON FINANCIAL IMPACT

3a. What Was Clearly Explained

Henry Walker's presentation was excellent in scope and clarity. Key points confirmed:

- The POA remains a nonprofit property owners association, not a government entity. [Town Hall ~16:12–16:20]
- TBOUR jurisdiction is prospective only — no backward-looking penalties for past practices. [Town Hall ~28:39–29:08]
- Water and sewer funds must be segregated and cannot cross-subsidize other operations — "you don't use utility revenues for other purposes." [Town Hall ~23:17–25:15]
- Bond issuance is "probably not" available since the POA is not a government entity; grants are "maybe," depending on specific grant terms. [Town Hall ~26:08–26:58]
- The TPUC case will be dismissed. [Town Hall ~19:30–19:42]
- Annual cost to the POA is minimal — no $40,000 TPUC fee; just audit filing costs and training. [Town Hall ~22:04–22:39]

3b. What Remains Unresolved

Several significant financial questions were raised but not answered:

Depreciation coverage: CFO Judy Bedford asked whether the POA needs to recover accumulated depreciation deficits in addition to covering current-year depreciation. Walker's answer: "That's a good question. I don't know the answer to that." [Town Hall ~44:49–45:14] PSAC member John Oldsen raised the same point at the board meeting: the current rates may not include depreciation, which TBOUR requires. Lackey's response: "We don't know yet." [Board Meeting ~29:08–29:16]

This is consequential. If TBOUR requires that water/sewer rates cover depreciation — which Walker confirmed is the standard ("a rate that covers your prudently incurred cost including depreciation" [Town Hall ~18:04–18:15]) — and the current rate structure does not fully fund depreciation, the community could face rate increases under the very regulatory framework the board successfully advocated for. The board should commission a specific analysis of the gap between current water/sewer rate revenue and the GASB depreciation requirement before the July 1 effective date.

Separate reserves for water vs. sewer: Bedford asked whether a single combined water/sewer reserve account is permissible given the separate state operating permit requirements for sewer. Walker deferred to TDEC and Kevin Stevens. Taylor asked whether separate reserve accounts would be advisable. Walker: "I don't know the answer to your question." [Town Hall ~36:34–38:10] This needs resolution before the regulatory transition takes effect.

Assessment neutrality: Oldsen's direct question — "Is it going to be revenue neutral?" — received only "We don't know yet" from Lackey. [Board Meeting ~28:49–29:16] The community deserves a clear answer before the next budget cycle begins.

CONCERN 4: PROPERTY OWNER SURVEY RESPONSE RATE — 16% WARRANTS STRATEGIC ATTENTION

4a. The Results Are Useful But the Sample Is Self-Selected

Bruce Palansky's survey presentation was analytically competent and the 73% overall satisfaction baseline provides useful initial data. The methodology — 1,100 surveys sent monthly with each property owner receiving the survey once — is sound in design. The 16% response rate (approximately 320 respondents from 2,500 sent) significantly exceeds the original 50-per-month target. [Board Meeting ~48:23–53:51]

However, as Palansky himself acknowledged, 16% represents a self-selected sample that may not reflect the views of the 84% who did not respond. Pat White's admonition — "Shame on you for only answering 16%" — was passionate but does not solve the analytical problem: non-response bias is a real statistical concern in voluntary surveys.

4b. The QR Code Surveys Show the Same Challenge

The customer experience surveys also show low response rates: 67 surveys from 9,500 golf rounds (0.7%). [Board Meeting ~1:04:47–1:04:57] While the results are positive (89.5% overall), they cannot be confidently generalized at that participation level.

4c. Recommendation

The board should consider whether a stratified random sample with follow-up (phone or mail) to non-respondents, or a comprehensive census survey similar to the LRPAC model (which achieved ~40% response rates per Ed Grollemond's comment at ~58:15), would provide more reliable data for the 2027 budget process. Running parallel systems (QR codes, Toast surveys, property owner surveys) without integration may generate conflicting signals.

CONCERN 5: WATER PRESSURE — ACKNOWLEDGED BUT NO REMEDIATION TIMELINE

Two separate residents raised water pressure concerns during the meetings. Online questioner Cat Purvis asked about low water pressure in the village. Pat White described his personal readings dropping from 50 PSI to 30 PSI as irrigation season began. [Board Meeting ~32:22–34:51]

Lackey's response was to request pressure recorders from LUB: "We've got to get some actual new recordings since the new tank's been put in." [Board Meeting ~32:29–32:52]

The 2026 budget presentation notes that "existing water pressure levels may be sufficient without the need for an elevated tank" and that "a ground-level tank will meet system needs," reducing the estimated project cost from $8.5M to $2.5M. White's report of 30 PSI pressure during peak irrigation — below the 40 PSI standard cited in the original TAP infrastructure presentation — suggests the ground-level tank may not have fully resolved the pressure deficit, particularly at higher elevations. This warrants formal measurement and public reporting before the next budget cycle.

CONCERN 6: EMPLOYEE SATISFACTION RESULTS — DELAY IN COMMUNICATING BACK TO EMPLOYEES

Otto reported that the team committed to returning results to employees by end of May but now expects the department-level rollout to occur in the second week of June. His candid explanation — "hiccups with some leadership changes and getting to getting the board together and herding cats in a thunderstorm" — is understandable but risks eroding employee trust in the process. [Board Meeting ~1:25:54–1:26:19]

The 75-76% favorability rate described as "bordering between good and caution" suggests material concerns exist within the workforce. The board received a private briefing on Saturday and Tuesday; department heads have not yet been briefed. The gap between board knowledge and employee communication creates a window during which employees may feel the survey was extractive rather than responsive. The board should prioritize completing the rollout on the revised timeline.

CROSS-REFERENCE: STATUS OF OPEN ITEMS FROM PRIOR REPORTS

- **TBOUR private act:** RESOLVED. Signed by Governor Lee on May 7, 2026. Effective July 1. County mayor petitions being drafted by attorneys Walker and Stevens. [Town Hall ~14:10–14:48]
- **Troon/IEL contract cost:** STILL OPEN but progressing. Lackey publicly committed to disclosing the cost after consulting with Claude Thorn. No NDA exists. Disclosure expected at June meeting. [Board Meeting ~27:56–28:26]
- **Water/sewer overcharge audit and remediation:** PARTIALLY RESOLVED. The board directed IEL to conduct "a complete deep dive accounting for all water and sewer funds collected and spent by the POA since 2003." This is the first concrete action on this item. No timeline for completion was stated. [Board Meeting ~36:52–37:40]
- **WSIAF:** RESOLVED. Permanently abolished by unanimous 7-0 vote, including catch-up fees. [Board Meeting ~35:45–36:37]
- **Kahite lift station engineering:** STILL OPEN with new complications. Board issued $16,000 task order to C2RL without PAC/FAC review. Jacobs Engineering contract not formally cancelled. Professional ethics concern raised by Macrae. Lackey directed Claude Thorn to ensure procedural compliance. [Town Hall ~52:16–1:02:13; Board Meeting ~18:37–19:58]
- **$2M federal grant:** SUBSTANTIALLY RESOLVED. Receipts submitted; grantor confirmed flexibility on budget categories; September 30 deadline acknowledged; July completion target set by CFO. $1.8–1.9M remaining to be drawn. [Town Hall ~50:40–52:15]
- **Committee appointment standardized process:** NO UPDATE at these meetings.
- **Parks & Rec unauthorized use:** NO UPDATE at these meetings. Simon Bradbury did not present the cost recovery plan that was promised for the May cycle.
- **Reserve study errors:** NO UPDATE. No formal community communication about scope or impact.
- **RFI/selection criteria disclosure:** NO UPDATE. Not raised at these meetings. David Taylor's March commitment to share selection rationale "after the selection is made" remains unmet.

- **Ad hoc committee memberships publicly posted:** PARTIALLY RESOLVED per prior reports. Communications Committee membership still TBD.

CONCLUSION

May 2026 marks the strongest pair of meetings in this board's tenure. The TBOUR legislation is signed and explained. The WSIAF is permanently abolished. The federal grant is being claimed. Financial performance is exceptional. The employee satisfaction survey is a genuine institutional achievement. Road maintenance procurement was exemplary. The balanced scorecard is producing useful data across nearly all 14 initiatives. These are not generic positives — they are specific, verifiable accomplishments that demonstrate the board and staff can execute effectively.

The concerns documented here are real but should be understood in that context. The Kahite lift station bypass of PAC is the most significant governance issue because it continues a six-month pattern of advisory committee marginalization. The Troon cost non-disclosure is nearing resolution but is not yet resolved. The TBOUR financial impact questions — particularly around depreciation coverage and rate neutrality — are newly identified and time-sensitive given the July 1 effective date.

Community members should watch for the following at the June meetings:

- Whether the Troon contract cost is publicly disclosed, as Lackey committed.
- Whether the Jacobs Engineering task order is formally cancelled before C2RL's Kahite work product is delivered.
- Whether the board presents an analysis of the gap between current water/sewer rates and the GASB depreciation requirements that TBOUR will impose.
- Whether Bedford provides guidance on whether water and sewer reserves need to be separated into distinct accounts before the July 1 regulatory effective date.
- Whether the county mayor petitions for utility district designation are submitted promptly after July 1.
- Whether the employee satisfaction survey results are rolled out to department heads and employees on the revised second-week-of-June timeline.
- Whether Simon Bradbury presents the Parks & Rec cost recovery plan, now overdue from May.
- Whether the reserve study error disclosure receives formal community communication.
- Whether the property owner survey response rate improves with marketing support, or whether the methodology is revised for the 2027 planning cycle.

This report covers the May 18, 2026 Town Hall and May 20, 2026 Board Meeting. Previous reports in this series cover December 2025 through the May 7, 2026 Special Town Hall.